

Exercise 5: Buying a House¹

For this exercise, I would like you to do a short exploration into the possibility of purchasing your first home. The purpose of the exercise is to give you a feel for some of the major financial components in a home purchase, thereby helping to enliven course discussions of broader social patterns.

To give you a sense of the income of most Americans, look here:

<http://nces.ed.gov/fastfacts/display.asp?id=77>

Or, more accurately (since it has it by gender), here:

https://nces.ed.gov/programs/digest/d23/tables/dt23_502.20.asp?current=yes

To buy a house, you should presume that you need to have a 20% downpayment for the house. You cannot buy a house until you have saved (or have been given) 20% of the purchase price. [In other words, you cannot borrow the downpayment.] You will also need a bit more for the cost of the loan application, loan costs, inspection costs, and closing costs; you should plan on another \$5,000.

I will assign each of you an income, a savings rate, and an interest rate for your loan.

Income:

- If your birthday is October through December your salary is \$130,000
- If your birthday is July to September through it is \$70,000
- If your birthday is April through June it is \$45,000
- If your birthday is January through March then it is \$25,000.

Savings Rate:

- If your income is over \$70,000 then your savings rate will be 10% of your salary for three years.
- Otherwise, the savings rate is whatever you think is realistic for you given your debts, cost of living, and income.

¹ This exercise adapted from:

Lareau, Annette. 2014. "Stratification Active Learning Assignments". *TRAILS: Teaching Resources and Innovations Library for Sociology*, August. Washington DC: American Sociological Association.
<https://trails.asanet.org/article/view/stratification-active-learning-assignments>.

Interest Rate + Assistance:

- If your birthday is in January through March, then your parents have opened up a “Roth IRA” for you which will give you \$10,000 more dollars for your down payment on your first home. The interest rate will be 6.00%.
- If you are fortunate enough to have a birthday in October through December, then you may presume that your parents will be able to loan you three-quarters of the down payment for a home. Your interest rate will be 5%.
- Everyone else: The interest rate will be 7%.

[By the way, there are differences in loans. If you take a 15-year loan, then your mortgage will be higher but you will pay less in interest rates over the course of the loan. The 30-year loan is standard. Interest rates are “fixed” which means that they stay the same over the course of the loan or “adjustable” which means that they start low and then can go significantly higher.]

Additional Details:

- You will decide your marital status. (Your spouse, however, may not have an income that is higher than you do).
- You choose a price range, a house, and a neighborhood.
- You need to have enough money not only for the mortgage, but for additional bank fees for the loan application (\$400), a fee for giving you a loan, a fee to search city records to make sure that there are not any liens against the property (i.e., a title search), and other “closing costs.” You can estimate this as about 6% of the cost of your loan.

Note: You can go to www.hud.gov for more information or also do a search using the word “mortgage” or “home buying” and check out sources online. Many websites will take you through the steps.

Look for houses online (for example, on sites like Redfin.com, Zillow.com, or Realtor.com). Please find a sample house in a real neighborhood and price range. It may be anywhere in the country. You should decide on what kind of house you can afford. List the address of the house you would like to buy along with the cost of the house and a brief description of it (i.e., number of bedrooms, bathrooms, and square footage).

If you can’t afford a house, choose the house you would like to buy and simply figure out how old you will be before you can buy it.

Fill out the information below. Then, I want you to write a paragraph where you tell me the many ways in which the system of home buyership gives compounding advantages for those born into wealthy homes. In other words, if you were in the most advantaged group, what advantages did you have at many stages of the process which you didn’t have if you were in another group?

Garrett Brownlee

Exercise 5: Buy a home

Name: Garrett Brownlee

Spouse? (Yes or no): **No**

If yes then state the name:

Your occupation: **McDonald's Manager**

Spouse's occupation (if applicable):

Your salary: **\$25,000**

Spouse's salary (if applicable):

Savings over three years: **Save 20% of the salary over the course of 4 years**

Are you able to buy a house? How old will you be when you buy it?

No, but I could buy would by the time I was 27 (which I'd say is a realistic goal)

Address and Neighborhood:

351 Timber Ridge Road, Sugar Grove, NC 28679

Type of home (size, # of beds/baths, etc.):

Built in 1987, sits on .95 acres of land, 2 beds+ 2 baths, 890 sq ft.

Url link:

https://www.zillow.com/homedetails/351-Timber-Ridge-Rd-Sugar-Grove-NC-28679/244138629_zpid/

Home purchase price:

\$125,000 (cost of house) + \$6,000 (closing costs; 6% of \$100k loan) = \$131,000

Your down payment amount:

\$25,000

Source of the downpayment:

\$10,000 (parent-provided Roth IRA) + \$15,000 (3 years of personal savings)

Approximate monthly payment:

\$600 a month (on a 30-year loan with fixed interest rate)

Interest rate:

6.00%

Now, include a one-paragraph reflection:

What is the impact of social class origins on home ownership? Highlight the different advantages as well as the areas in which social class did not make a difference.

Social class origins have a lot to do with buying a new home, especially your first home, but does not always play the role of “deciding factor” for everyone (and the extent to which is it a “determining factor” is different for each individual. For example, given my assigned background/circumstances I was happy to buy a modest \$125,000 home on a single (unmarried) income sometime in the next half decade. I’m sure some other people completing this assignment required a “wealthier” and “finished” home that did not put any work it; something resembling the middle-to-high class home that they were raised in. However, even with that being said, there are

compounding advantages (at every stage of the process) for those from wealthier backgrounds and who have parental assistance. Those who received more from their assistance from their parents (via Roth IRA) were able to start building their equity/capital immediately, whereas others like me will have to wait for some number of years. Similarly, banks and creditors recognize social class origin, assigning lower interest rates for wealthier buyers. The only area (I can think of) which was specifically unimpacted by social class background was the standardized “closing costs” which are the same for everyone.